Discrimination and Male-Female Earnings Differentials

EC306- Wages and Employment

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Goals of This Section

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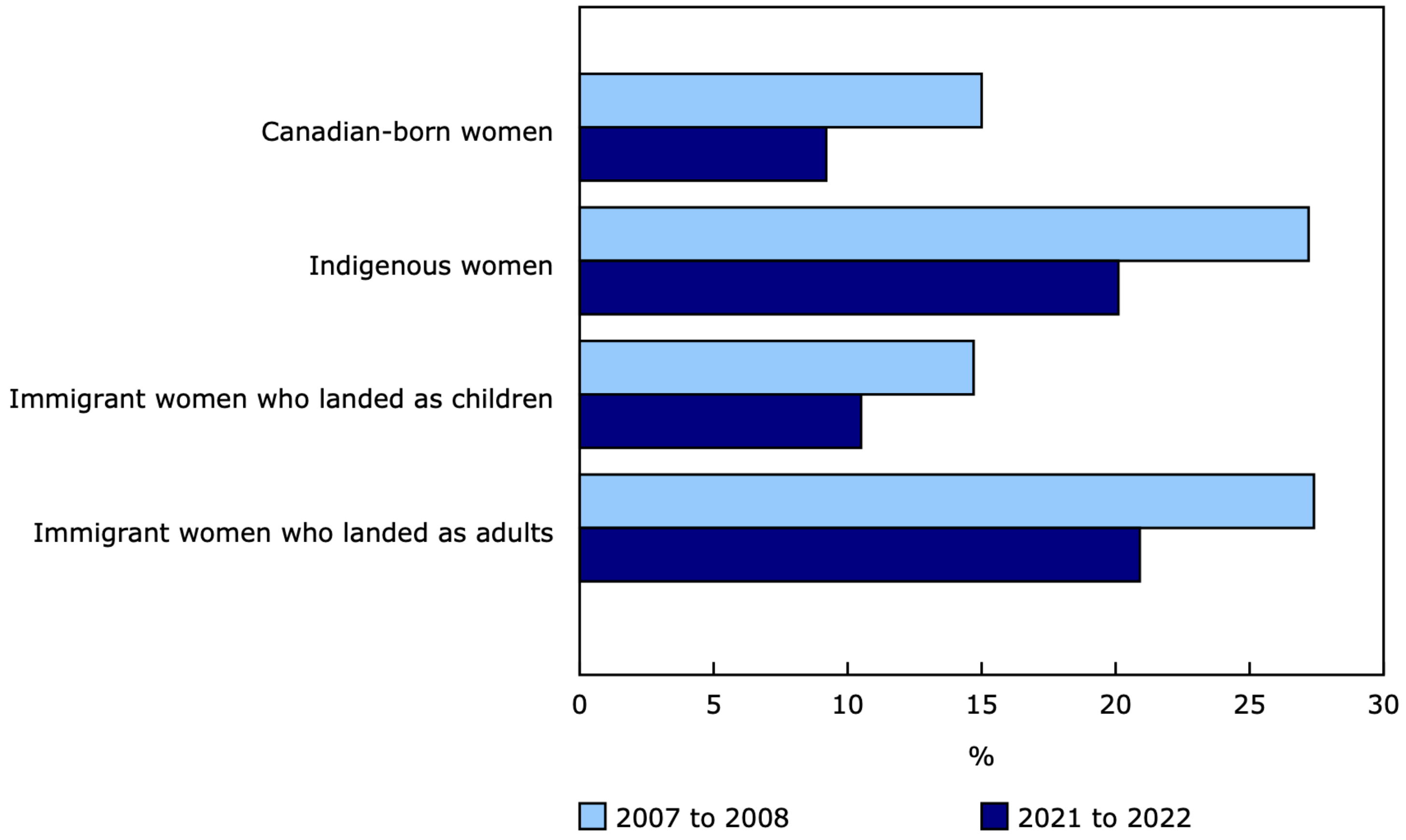
- Discuss trends in educational attainment in Canada
- Introduce Human Capital Theory of education investment
- Introduce Signalling Model of education investment
- Discuss empirical methods to estimate returns to schooling
- Review empirical evidence on returns to schooling
- Discuss job training

Introduction

Male and Female Earnings

Male and Female Earnings

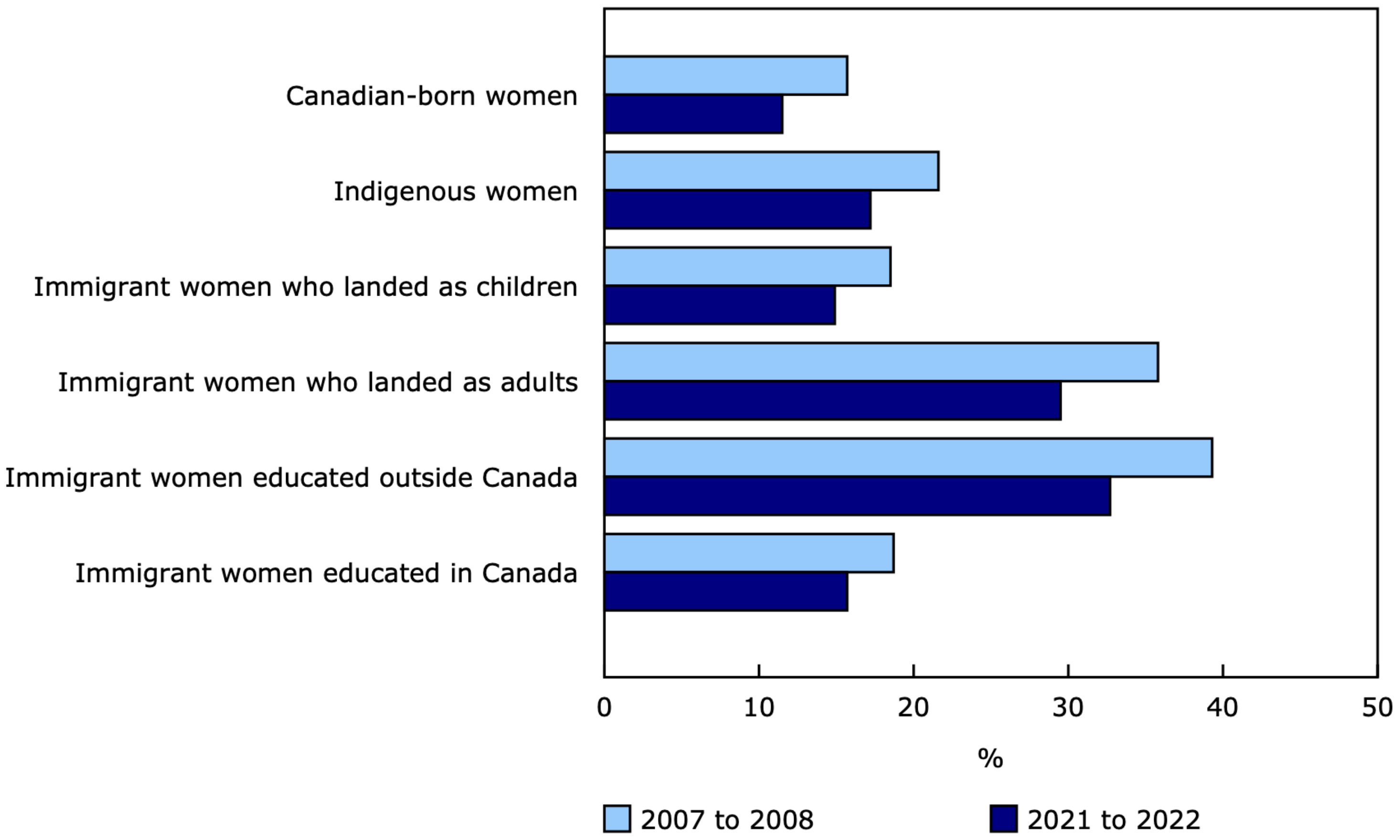
Gap in average hourly wage relative to Canadian-born men, by group of women, 2007 to 2008 and 2021 to 2022



Note(s): "Canadian-born" refers to non-Indigenous workers born in Canada.
Source(s): Labour Force Survey (3701), March and September monthly files, 2007, 2008, 2021, and 2022.

Male and Female Earnings

Gap in average hourly wage relative to Canadian-born men among workers holding a bachelor's degree or higher, 2007 to 2008 and 2021 to 2022



Note(s): "Canadian-born" refers to non-Indigenous workers born in Canada.
Source(s): Labour Force Survey (3701), March and September monthly files, 2007, 2008, 2021, and 2022.

Male and Female Earnings

- Clearly men and women earn different amounts on average
- There are two broad explanations for this gap:
  1. Differences in characteristics (education, experience, occupation, industry, hours worked, etc.)
  2. Differences in the returns to those characteristics (discrimination)
- Our models so far have not left room for discrimination
  - We treated all workers as the same
  - So there should not be any differences in returns

Male and Female Earnings

- In this section, we explore economic theories of discrimination
  - Can come from employers, customers, co-workers
  - Can be statistical or taste-based
- It is difficult empirically to estimate discrimination
  - Need to control for all relevant characteristics
  - Need to separate out differences in characteristics from differences in returns
- There are methods that can help us estimate discrimination
  - Oaxaca-Blinder decomposition
  - Audit studies
  - Experiments

Demand Theories of Discrimination

Demand-Side Theories

- Demand theories focus on the behavior of employers in demanding labor
- Can happen for various reasons:
  - Pure prejudice
  - Customer preference to buy from male workers
  - Male aversion to working with women
- These all cause a fall in the demand for women relative to men in the labour market
  - Reduces wages and employment of female workers

Taste-Based Discrimination

- Theory of taste-based discrimination pioneered by Becker (1957)
- Imagine that firms produce according to the production function:

$$y = f(N_m + N_w)$$

- With N_m indicating the number of male workers, and N_f indicating the number of female workers
- So in a competitive market their profits are

$$\pi = p \cdot f(N_m + N_w) - w_m N_m - w_w N_w$$

- With w_m indicating the wage of male workers, and w_f indicating the wage of female workers

Taste-Based Discrimination

- Firms do not maximize profit strictly, but instead maximize a utility function

$$U = \pi - d \cdot N_w$$

- Utility is partly a function of profit
- But also includes d, which measures the degree of discrimination
  - if $d = 0$, no discrimination and maximizing utility is the same as maximizing profit
  - if $d = 0$ firms get a disutility from hiring women

Taste-Based Discrimination

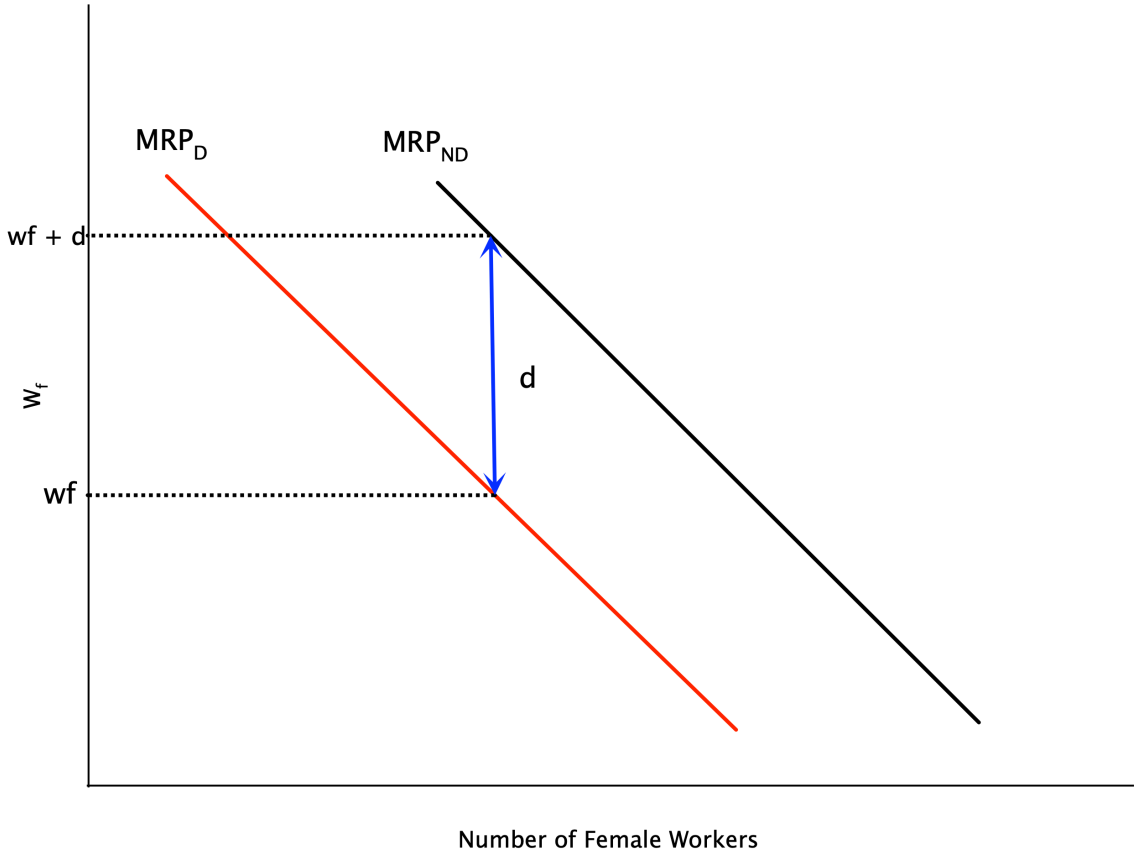
- The first order conditions for utility maximization are:

$$p \cdot MP_{N_m} = w_m$$

$$p \cdot MP_{N_w} = w_w + d$$

- For both men and women, firms hire up to the point where the value of the marginal product equals the cost of hiring
  - But for women, there is an additional cost d due to discrimination
- If $w_m = w_f$, and men and women are equally productive, this implies the firm hires less women
  - Discrimination drives a wedge between wages and the MRP

Taste-Based Discrimination

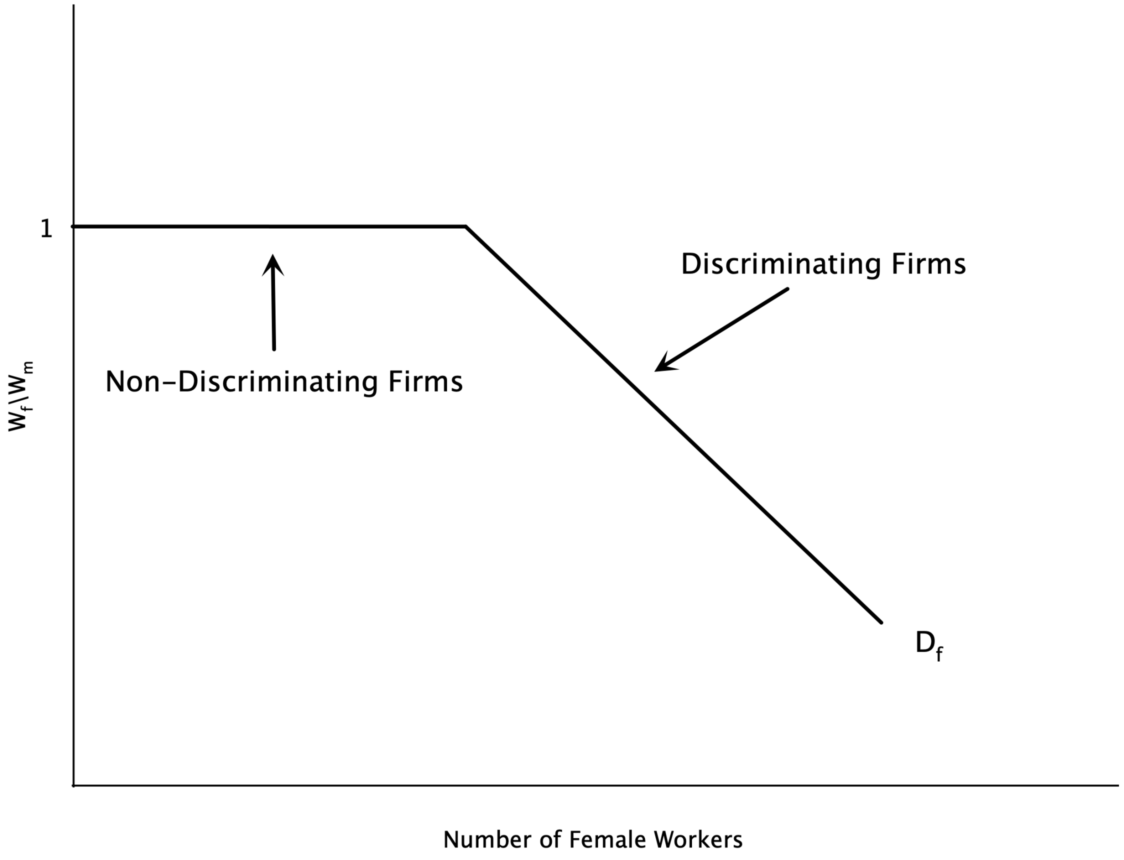


- Graph plots labour demand for women
- Discrimination shifts demand curve left
- Without discrimination, firm hires where $w_f = MRP_{ND}$
  - ND = non-discriminatory
- With discrimination, firm hires where $w_f + d = MRP_D$
  - Or equivalently $w_f = MRP_D - d$
- Implies a lower level of female labour

Taste-Based Discrimination

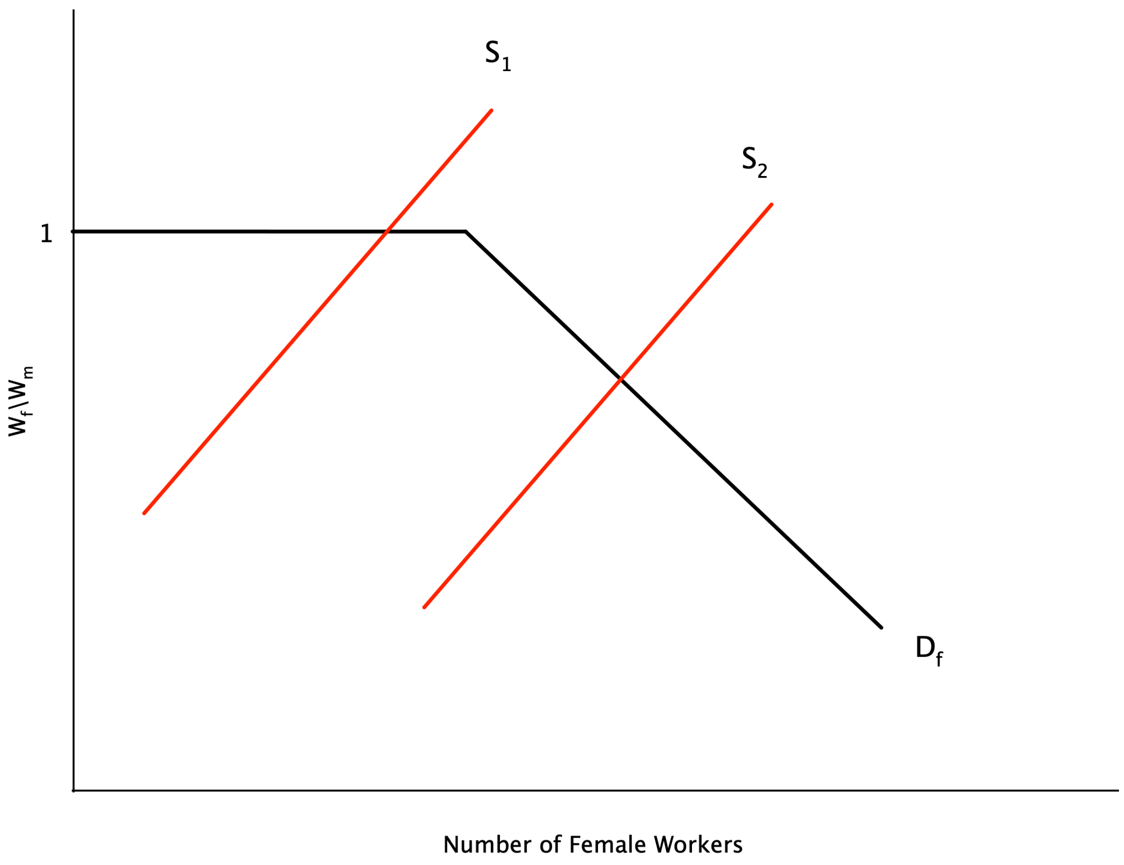
- Above analysis is for a single employer
- Employers discriminate along a spectrum
  - Some have a high d, some have a low or no d
- Suppose women are able to seek out the non-discriminating employers
- If we order the firms from lowest to highest by the amount of discrimination
  - We can get the market demand curve by summing the individual demand curves horizontally
- This demand curve is plotted on the next slide

Taste-Based Discrimination



- Graph plots demand for female labour in the market
- On the vertical axis is the ration of female to male wages
- For non-discriminating firms, this ratio is 1
  - A certain set of firms will hire women at this ratio
  - This is the flat portion of the demand curve
- As the supply of women grows, they must work at more discriminating firms
  - These firms will only hire when the wage ratio falls

Taste-Based Discrimination



- If the supply of female labour is small enough, they can work at non-discriminating firms
  - Wage ratio is 1
- With a larger supply, some will have to work at discriminating firms
  - Wage ratio falls below 1
  - This is where the demand curve slopes downwards
  - Wage gap emerges

Statistical Discrimination

- Taste-based discrimination relies on employers having a “taste” for discrimination
  - Overt prejudice
- Some discrimination may happen because of imperfect information
  - Employers do not know the productivity of workers perfectly
- Instead they use signals to infer worker quality
- With **statistical discrimination** firms use group characteristics to infer individual productivity
  - If one group has lower average productivity, firms may pay them less on average

Statistical Discrimination

Theory

- Assume that the abilities of male and female workers are distributed with means $\bar{a}_m$ and $\bar{a}_f$
- Suppose the firm has access to a signal of ability x for each person
- Actual ability is not known with certainty, but expected ability is

$$a(x) = \bar{a} + \alpha(x - \bar{a})$$

- where α is the reliability of the signal
  - If $\alpha = 0$, the signal provides no information beyond the average
  - If $\alpha = 1$, the signal is perfectly informative
- Workers are paid a wage equal to their marginal revenue product

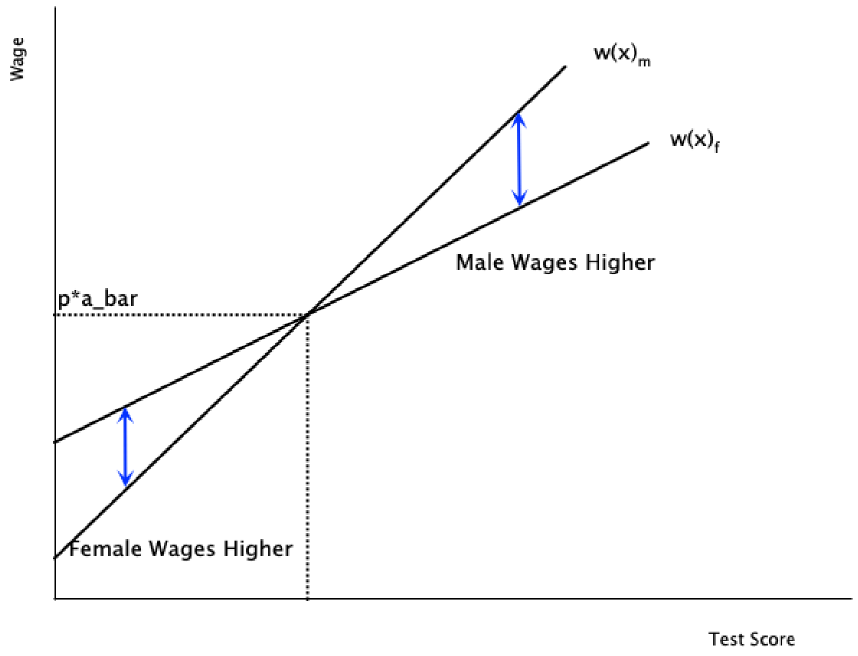
Statistical Discrimination

- Paying workers their marginal revenue product implies

$$w(x) = pa(x) = p\bar{a} + p\alpha(x - \bar{a})$$

- To analyze discrimination, assume $\bar{a}_m = \bar{a}_f$
  - Men and women are equally productive on average
- Assume the signal is more reliable for men than for women
  - If $\alpha_m > \alpha_f$
- Differences arise between workers who score the same on the signal
  - If a man and woman score above average $(x - \bar{a} > 0)$, then $w(x)_m > w(x)_f$
  - If a man and woman score below average $(x - \bar{a} < 0)$, then $w(x)_m < w(x)_f$

Statistical Discrimination



- In this graph we have wages as a function of the signal
- The male line is steeper because the signal is more reliable ($\alpha_m > \alpha_f$)
- For test scores above average, men are paid more
- For test scores below average, women are paid more
- At the average, they are paid the same

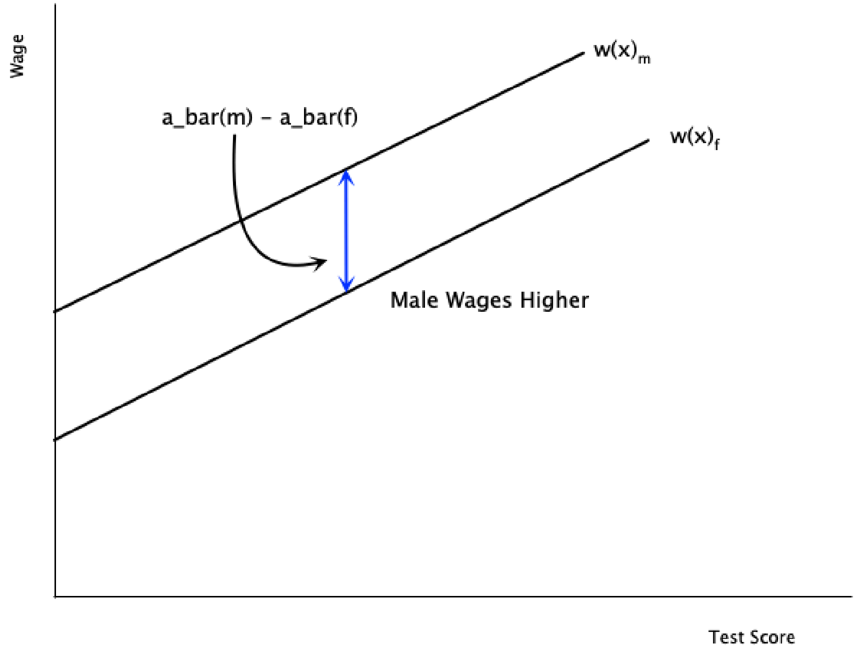
Statistical Discrimination

- There are no underlying differences between males and females
  - Differences in wages arise because of differences in the quality of the signal
  - Firms place more weight on average ability for female workers
  - Firms place more weight on the actual signal for male workers
- At low levels of the signal, women are paid more than men
- But where does the assumption $\alpha_m > \alpha_f$ come from
  - Possibly related to prejudicial attitudes of firms
  - Some believe standardized tests favour males

Statistical Discrimination

- There may also be differences in $\bar{a}_m$ and $\bar{a}_f$
  - Possibly due to pre-market discrimination leading to lower human capital among women
- In this case, males are paid more at every signal level
- Wage differences do not necessarily arise from overt discrimination
  - They may originate in differences in information signals
  - But it is difficult to explain why such differences in signal quality exist

Statistical Discrimination



- In this graph the quality of the signal is the same
- Slopes of the lines are the same
- But there are differences in average productivity
  - Male line lies above female line
- Men will be paid more because of the average difference

Supply Theories of Discrimination

Supply-Side Theories

- We discussed demand-side theories of discrimination
  - Focused on employer behaviour
- Discrimination may also arise on the labour supply side
  - Factors that affect where women choose or are able to work

Crowding Hypothesis

- Older theory emphasizing that women are overrepresented in certain occupations
- This pushes up their labour supply in those occupations
  - Which depresses wages relative to men
- Discrimination comes from the supply side
  - Women are paid their marginal product
  - But are corralled into a small set of jobs, which depresses wages

Dual Labour Market Theory

- Similar in spirit to the crowding hypothesis
- Theory says there are two labour markets
  - Primary market
    - High wages, good working conditions, opportunities for advancement
    - Unionized, stable, expanding
  - Secondary market
    - Low wages, poor working conditions, little opportunity for advancement
    - Non-unionized, highly competitive, declining
- Theory posits that women are concentrated in the secondary market
- Prejudice prevents women from entering primary market

Lower Reservation Wages

- One theory is that female reservation wages are lower because
  - Costly to search for non-discriminating employers
  - Job search is limited by strong household ties
  - Ability to negotiate higher pay limited by lower threat of leaving
- With a lower reservation wage, women are more likely to be paid less
  - Contributes to pay gap
- Some evidence of this in empirical studies

Risk Aversion

- Large literature documenting that women are less aggressive/competitive in bargaining
- Also less confident in their abilities
- Evidence of this in many studies in economics and psychology
- Might mean women are less likely to compete for higher paying jobs

Differences in Preferences

- May be differences in preferences for
  - Education
  - Training
  - Hours
  - Work conditions
  - Occupation
- All of these are correlated with pay
- Issue is that these choices are sometimes a product of discrimination
  - STEM fields are an example
  - History of discrimination in this field may lead women not to choose it
- Hard to separate out preferences from discrimination effects

  We will cover this in more detail in a few slides

Non-Competitive Theories of Discrimination

Non-Competitive Theories

- One issue with the above theories is that they assume competitive markets
- Men and women are assumed to have equal productivity
- Discriminating firms hire less women because of prejudice
- But non-discriminating firms can hire more women at lower wages
  - Would increase their profits
- Non-discriminating firms would bid up the wages of women
  - Should close the gap

Non-Competitive Theories

- But the gap continues to exist
- Non-competitive theories of discrimination try to explain this
- The unifying theme is that markets are not perfectly competitive
  - May be monopsony power, imperfect information, search frictions, etc.
- This can lead to persistent wage gaps

Imperfect Information

- Even if firms know that they can increase profits by hiring more women, they might not be able to immediately change workforce
- Hiring and recruiting are costly
  - There are search frictions
  - Quasi-fixed costs
- Firms may be slow to adjust to profit opportunities
- This can lead to persistent wage gaps
- But does not explain why the gaps have persisted for so long

Queueing Theory

- Some firms pay **efficiency wages**
  - Wages above the market clearing level to increase productivity
- This results in a queue of workers wanting to work at the firm
  - Due to the higher wages
- While rationing jobs, firms may discriminate

Political Pressure

- It is sometimes the case that markets decisions are overriden by political pressures
- A male-centric government or union may
  - Hire more men in government jobs
  - Be discriminatory with education and training
- The political pressure could come from interest groups
  - May have a lot of money to lobby the government

Monopsony Power

- Monopsony gives firms power to set wages
- Monopsonies may take advantage of relative immobility of women to lower their wages
  - Recall they may have stronger ties to household
- They may also try to pit men and women against each other
  - Create competition between the groups to lower wages

Systemic Discrimination

- Idea is that discrimination is embedded in social and economic systems
- Has been going on for so long, that it is now self-perpetuating
- Could come from
  - Existence of “old boys” mentality
  - Old job requirements that implicitly discriminate but continue to exist

Productivity Differences

Productivity Differences

- It may be the case that men and women have productivity differences
  - This could determine pay differences even in competitive markets
- Note: not *innate* productivity differences
- Differences coming from acquisision of human capital over time
  - Education
  - Training
  - Work experience
- If human capital investments are a choice, then pay differences are not discrimination
- But it could be that choices are influenced by discrimination

Dual Role

- Traditionally women have more of a dual role than men
  - Balance household and market work
- If this continues to be true, then women
  - Have less continuity in work (mainly from interruptions for children)
  - Are more likely to have periods of paid work and labour force withdrawals
- This leads to lower accumulation of human capital
  - Because there is less time to recoup the costs
- In some sense this is a rational choice
  - But is rooted in a society that does not accommodate enough for working mothers

Pre-Market Discrimination

- Discrimination may influence choices in
  - Education
  - Training
  - Career path
- Thus what looks like a rational choice is itself affected by discrimination
  - In the literature this is called **pre-market discrimination**
- Example: STEM jobs
  - Pay well, but are male dominated
  - Women are discouraged from entering these fields
  - Thus do not have access to the higher pay that comes with these jobs

Measuring Discrimination

Introduction

- Now that we have discussed theories of discrimination, how do we measure it?
- Difficult because in most cases discrimination is not directly observable
  - There is not a “discrimination” variable in datasets
- Can design experiments to measure discrimination
  - Audit studies
  - Field experiments
- But in most cases we have to rely on observational data

Introduction

- Measuring discrimination involves comparing people of equal productivity
  - So that any left over wage differences could be due to discrimination
- But we do not observe productivity directly
- Instead, hold constant variables related to productivity
  - Education
  - Experience
  - Occupation
  - Industry
  - Hours worked
- Then decompose wage difference into part due to characteristics and part due to other factors

Blinder-Oaxaca Decomposition

- Method to decompose differences in average earnings between any two groups into
  - Part due to differences in characteristics (explained)
  - Part due to differences in returns to those characteristics (unexplained)
- Suppose we estimate a regression of log earnings on observed characteristics for men and women
- The predicted value (which is also equal to the mean of log earnings) is

$$\ln(Y_m) = \hat{\beta_m} \bar{X}_m$$

$$\ln(Y_f) = \hat{\beta_f} \bar{X}_f$$

Blinder-Oaxaca Decomposition

- The difference in average log earnings is

$$\ln(Y_m) - \ln(Y_f) = \hat{\beta_m}\bar{X}_m - \hat{\beta_f}\bar{X}_f$$

- We can add and subtract $\hat{\beta_m}\bar{X}_f$ to get

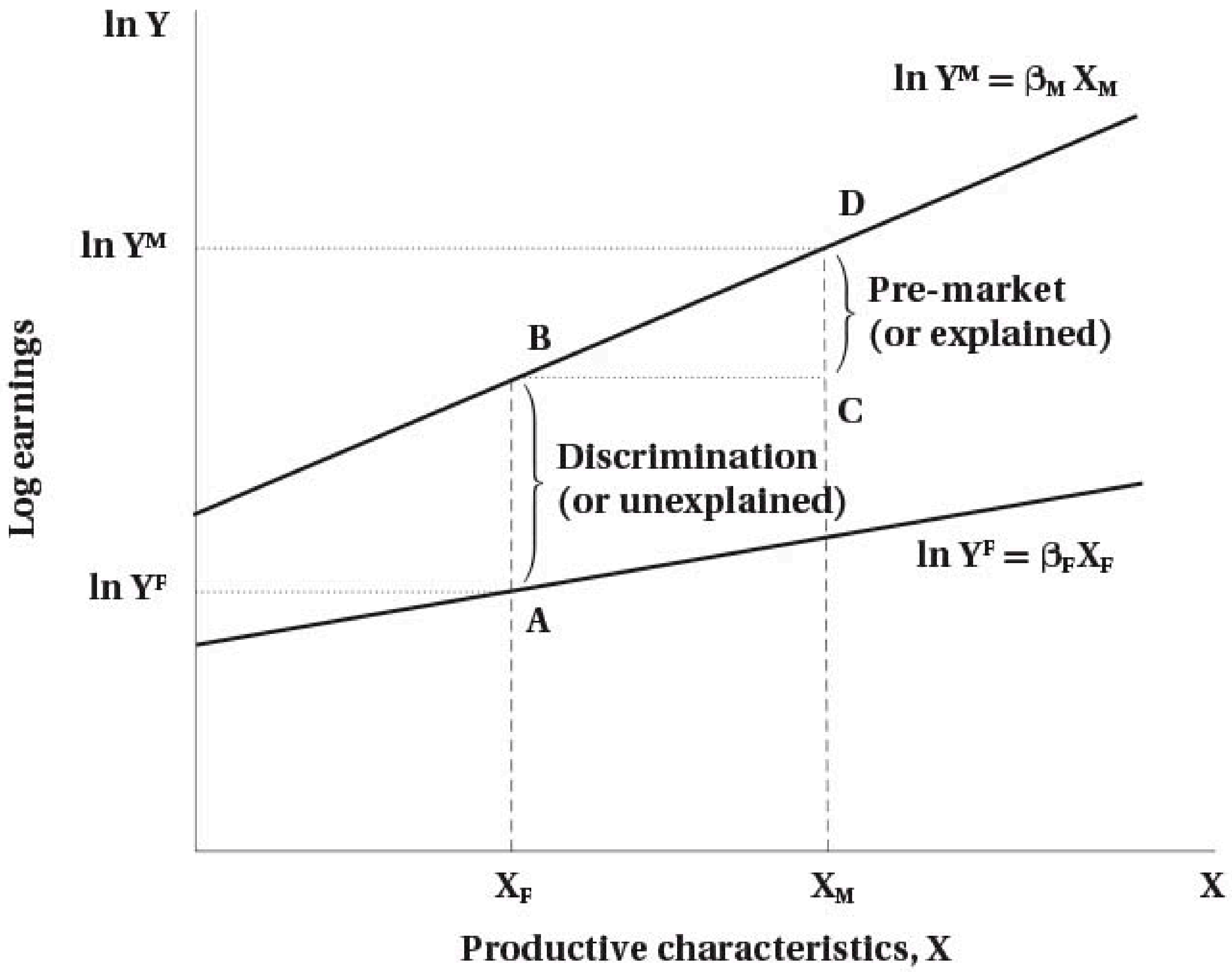
$$\ln(Y_m) - \ln(Y_f) = \hat{\beta_m}(\bar{X}_m - \bar{X}_f) + \bar{X}_f(\hat{\beta_m} - \hat{\beta_f})$$

- Doing this allows us to separate the difference into two parts
- The first part is the explained part
  - Due to differences in characteristics
  - Holds the slope constant at $\hat{\beta_m}$ and looks at differences in average X

Blinder-Oaxaca Decomposition

- The second part is the unexplained part
  - Due to differences in returns to characteristics
  - Holds the average characteristics constant at $\bar{X}_f$ and looks at differences in slopes
  - The slopes are the returns to characteristics
- Traditionally, the unexplained part is interpreted as discrimination
  - But could also be due to unobserved productivity differences

Blinder-Oaxaca Decomposition



Blinder-Oaxaca Decomposition

- Here is an example of how this works
- Suppose we have run the following regression separately for men and women

$$\ln Y = \beta_0 + \beta_1 \text{Educ} + \beta_2 \text{Experience}$$

- The estimated coefficients are:
- Men: $\beta^M = (\beta_0^M, \beta_1^M, \beta_2^M) = (2.0,\ 0.10,\ 0.02)$
- Women: $\beta^F = (\beta_0^F, \beta_1^F, \beta_2^F) = (1.8,\ 0.08,\ 0.015)$

Blinder-Oaxaca Decomposition

- The mean of the observed characteristics are
- Men: $\bar{\text{Educ}}_M = 14, \bar{\text{Exp}}_M = 15$
- Women: $\bar{\text{Educ}}_F = 13, \bar{\text{Exp}}_F = 12$
- The average predicted log wage for men

$$\bar{lnY}_M = 2.0 + 0.10 \cdot 14 + 0.02 \cdot 15 = 2.0 + 1.4 + 0.3 = 3.7$$

Blinder-Oaxaca Decomposition

- The average predicted log wage for women

$$\overline{lnY_F} = 1.8 + 0.08 \cdot 13 + 0.015 \cdot 12 = 1.8 + 1.04 + 0.18 = 3.02$$

- The wage gap us therefore

$$\overline{lnY_M} - \overline{lnY_F} = 3.70 - 3.02 = 0.68$$

- This says that the wage gap is about 0.68 log points
    - Roughly a 68% higher wage for men

Blinder-Oaxaca Decomposition

We decompose:

$$\ln \bar{Y}_M - \ln \bar{Y}_F = \text{Explained} + \text{Unexplained}$$

- Explained (due to characteristics) component is

$$\text{Explained} = (\bar{X}_M - \bar{X}_F)\beta^M$$

- Compute differences in means:
- Education: $14 - 13 = 1$
- Experience: $15 - 12 = 3$

Blinder-Oaxaca Decomposition

- Then:

$$\text{Explained} = 1 \cdot 0.10 + 3 \cdot 0.02 = 0.10 + 0.06 = 0.16$$

-About 0.16 log points of the gap are due to men having more education and experience.

-Unexplained (slopes) component is

$$\text{Unexplained (slopes)} = \bar{X}_F \left(\beta_M - \beta_F\right)$$

- Coefficient differences:
- Education: $0.10 - 0.08 = 0.02$
- Experience: $0.02 - 0.015 = 0.005$

Blinder-Oaxaca Decomposition

- Then:

$$\text{Unexplained (slopes)} = 13 \cdot 0.02 + 12 \cdot 0.005 = 0.26 + 0.06 = 0.32$$

- Intercept difference:

$$\beta_{0M} - \beta_{0F} = 2.0 - 1.8 = 0.20$$

- This is also part of the unexplained component (baseline difference not due to X).
- Total unexplained:

$$\text{Unexplained (total)} = 0.32 + 0.20 = 0.52$$

Blinder-Oaxaca Decomposition

- The decomposition is therefore:

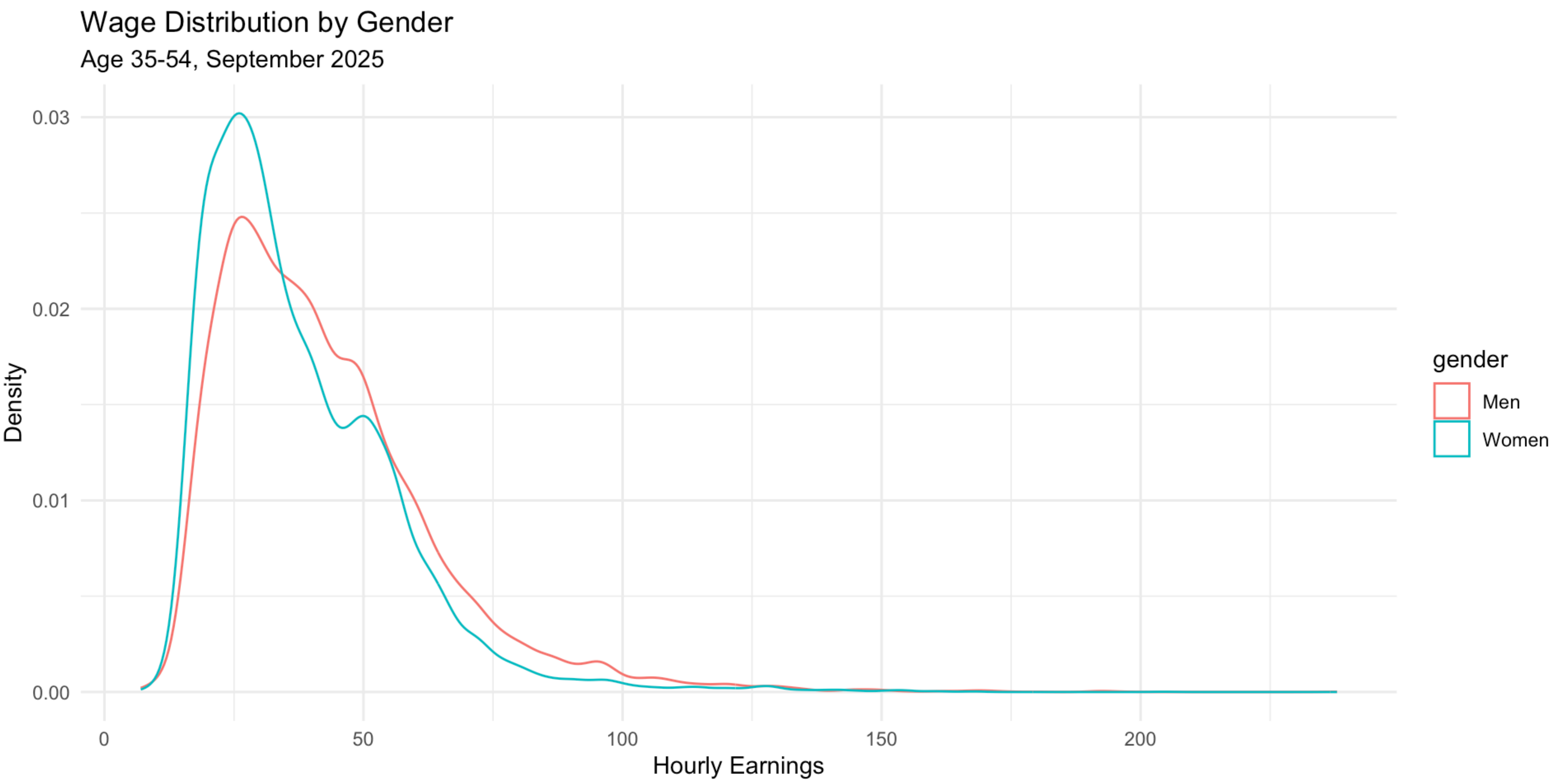
$$0.68 = \underbrace{0.16}_{\text{explained}} + \underbrace{0.52}_{\text{unexplained}}$$

- Interpretation:
- Explained: 0.16 (about 24% of the gap)
  - Due to men having higher average education and experience.
- Unexplained: 0.52 (about 76% of the gap)
  - Due to different returns to characteristics and intercept differences

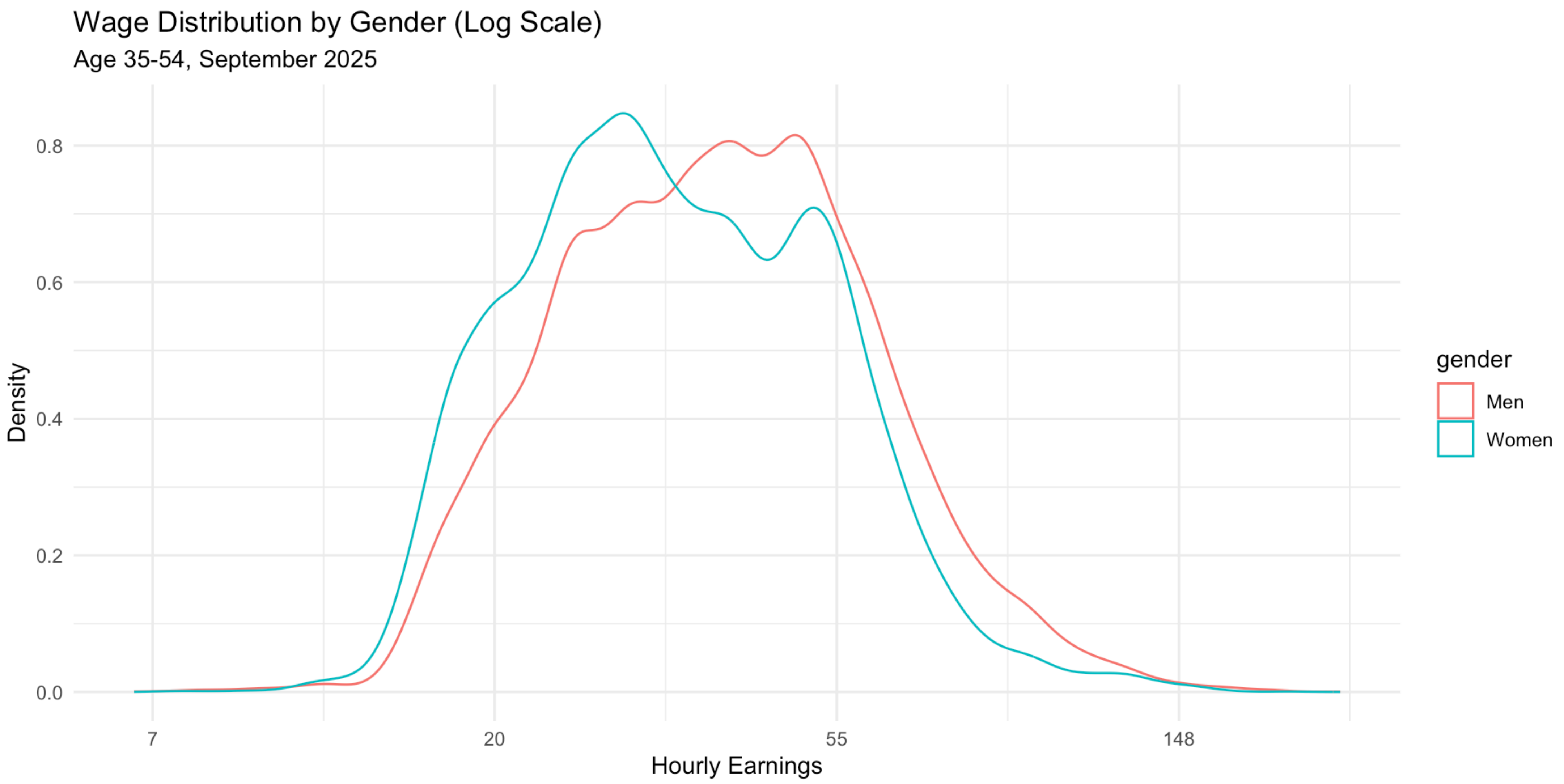
Blinder-Oaxaca Decomposition

- Here is an example using real data from Canada
  - Labour Force Survey from September 2025
  - Restricted to people aged 35-54
  - Have wages > 0
- First examine some summary statistics
- Then do a regular regression
- Finish with decomposition

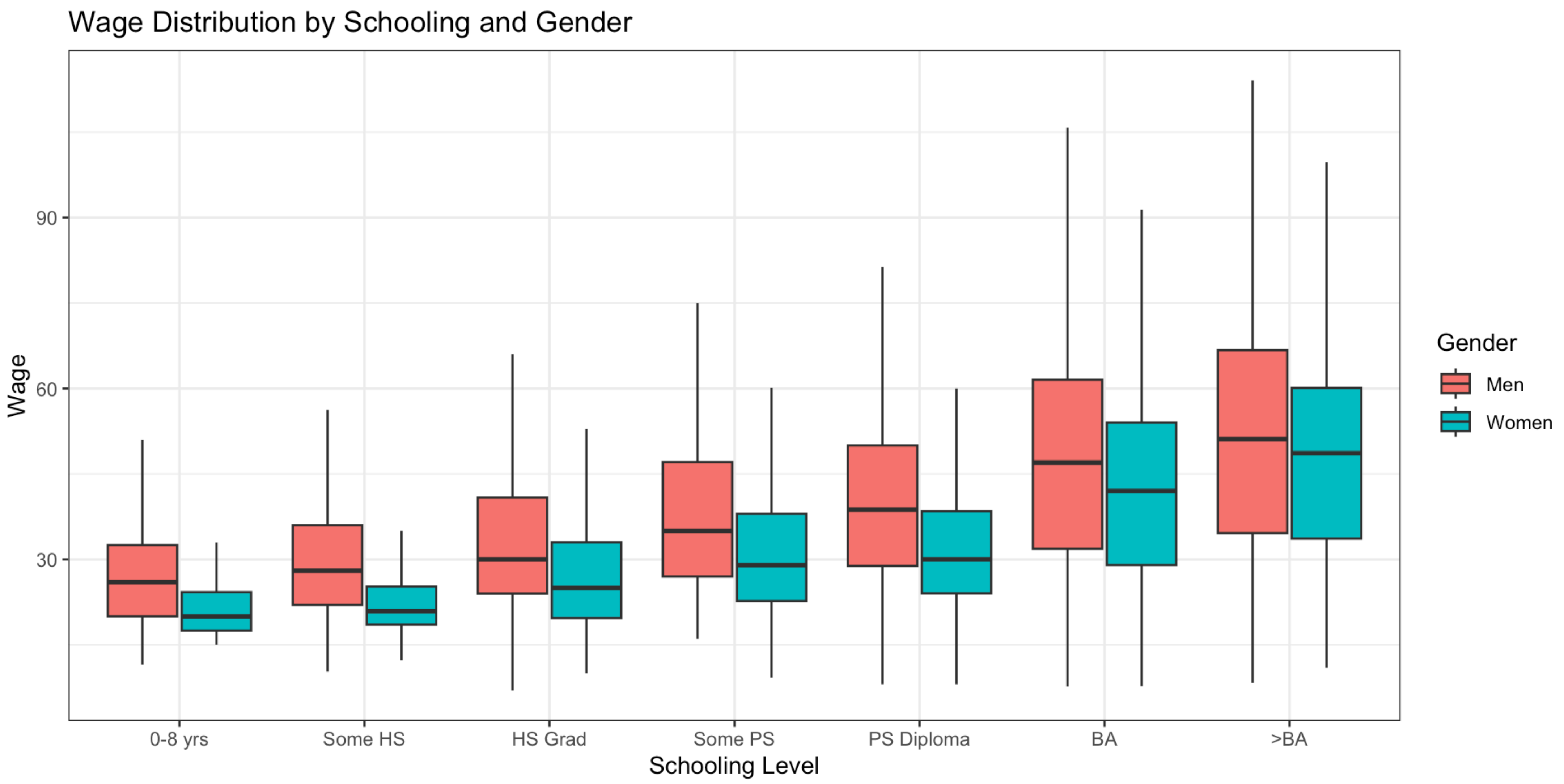
Blinder-Oaxaca Decomposition



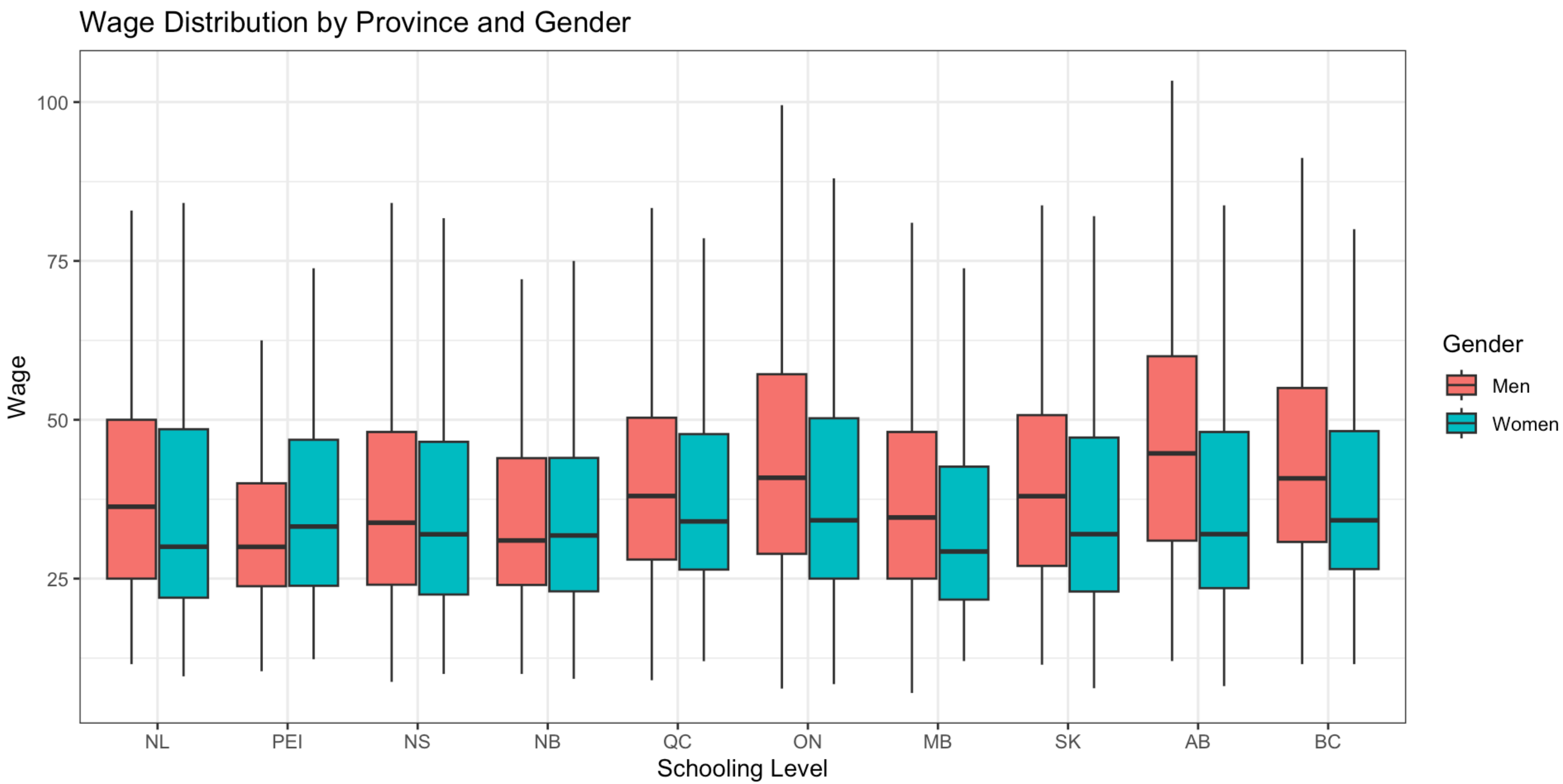
Blinder-Oaxaca Decomposition



Blinder-Oaxaca Decomposition



Blinder-Oaxaca Decomposition



Blinder-Oaxaca Decomposition

	Wage	Log Wage	Log Wage (with Controls)
Women	-5.032	-0.122	-0.174
	(0.247)	(0.006)	(0.005)
Num.Obs.	25233	25233	25233
R2	0.016	0.018	0.227
R2 Adj.	0.016	0.018	0.226
AIC	221896.5	212082.5	206091.9
BIC	221920.9	212106.9	206335.9
Log.Lik.	-110945.268	-15494.659	-12472.344
F	413.611	466.878	264.816
RMSE	19.65	0.45	0.40

Blinder-Oaxaca Decomposition

Component	Estimate
Overall Difference	0.122
Explained (Endowments)	-0.051
Unexplained (Coefficients)	0.173

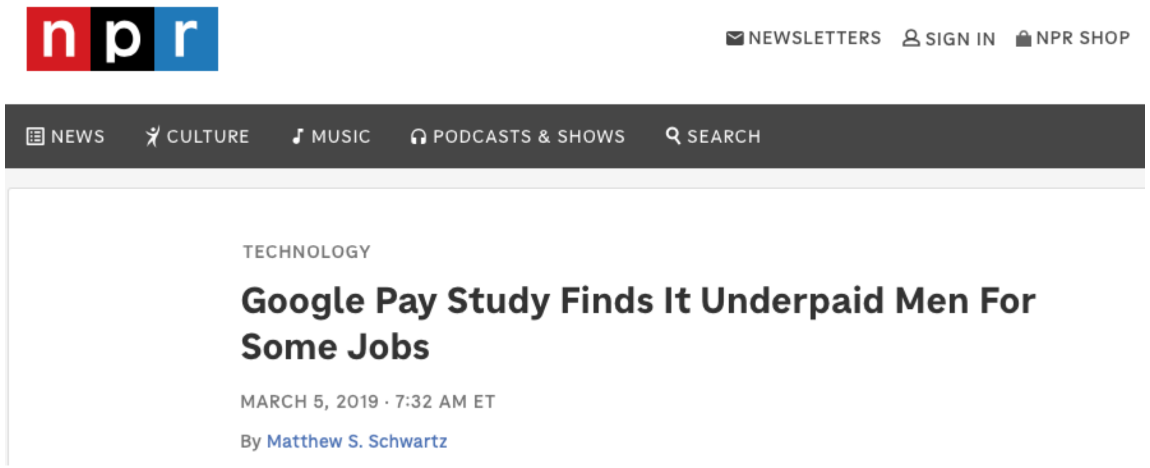
Collider Bias

- Sometimes researchers will control for variables in a regression to adjust the wage gap
  - What is the gap if we hold constant age, education, experience, occupation, industry, hours worked, etc.
- The idea is to compare people who are the same on all relevant characteristics
  - So that any remaining difference is (possibly) due to discrimination
- When doing this, you run into a tricky issue called **collider bias**
  - Controlling for certain variables can actually **create bias** in estimates

Collider Bias

- Easiest to understand with an example
- Suppose we examine the tech industry
  - Men and women have equal ability in the general population
  - Ability is positively related to wages
  - Women face discrimination in tech, so to get the job they must have very high ability
  - Men can enter even with moderate ability
- If you look at the wage gap in tech jobs, it might appear to favour women
  - In the same occupation, women will have **higher** ability because they had to overcome discrimination
  - So comparing men and women within occupation **creates** ability bias

Collider Bias



NEWSLETTERS SIGN IN NPR SHOP

NEWS CULTURE MUSIC PODCASTS & SHOWS SEARCH

TECHNOLOGY

Google Pay Study Finds It Underpaid Men For Some Jobs

MARCH 5, 2019 · 7:32 AM ET

By Matthew S. Schwartz

- This happened at Google several years back
- There was a complaint that women were being underpaid
- But they did an analysis and found that **men** were underpaid
- Was a perfect example of collider bias
  - They looked within jobs
  - Women of very high ability were likely selected into those jobs
  - Their wages were higher because of that

Collider Bias

- How to avoid collider bias?
- Do not add variables that are outcomes of discrimination to regression
  - Occupation is often an outcome of discrimination
  - Industry may also be an outcome
- Instead include only predetermined characteristics
  - Things that are not affected by discrimination
  - Includes mainly basic demographics, possibly education and exprience

Additional Evidence on Gender Pay Gaps

Introduction

- There has been significant statistical work on this issue
- Why?
  - Its importance
  - Availability of data
- We will briefly review some of the evidence here
  - A slightly greater focus on Canadian studies

Evidence

- Across several studies, women in Canada earn about 60% of what men earn
- After controlling for characteristics, the gap shrinks to about 85%
- Pay gap is smaller in the public sector
  - Pay practices are more egalitarian in the government
- Gap has been falling over time
  - Many factors could contribute to this
- Internationally, gaps are smaller with stronger bargaining structures
- Gap is smaller the more competitive the industry

Evidence

- Occupational segregation does not explain a large part of the gap
  - Gap is explained more by *industry* rather than occupation
- Women face career penalties from family responsibilities
- Glass ceilings are an observed phenomenon
  - At the top end of the pay distribution, gaps are larger
  - Lots of international evidence of differences in career advancement
- Unions have a higher impact on women than men
  - Offset by the fact that women are less likely to be unionized

Evidence

- Mixed evidence on job protected leave
  - Leave is good because it protects jobs for women
  - But might make employers less likely to hire women in the first place
  - Evidence shows it lowers wages for women in the U.S.
  - In Canada it increases job continuity
- Some evidence that gap grows with more work experience
  - Upon initial entry, gap is small
  - Grows over time

Other Groups

Introduction

- The chapter is nominally about gender wage gaps
- But the same techniques can be used to estimate gaps for other groups
- This is usually done by race or ethnicity
  - U.S. studies have focused in particular on racial discrimination
- We will briefly cover this here

Evidence for Other Groups

- Indigenous peoples in Canada face significant wage gaps
  - About 85% of non-Indigenous wages off reserve
  - Shrinks after controlling for characteristics
- Some work on ethnic-white wage gaps in Canada
  - Complicated by the fact that many non-white Canadians are also immigrants
  - Immigration has its own independent effect on wages
  - Controlling for this, gaps are very high
  - Summarized on next slide

Evidence for Other Groups

TABLE 12.1 **Ethnic Wage Differentials, Various Groups Born in Canada or United States**

Black	South Asian[a]	Southeast Asian[b]	Chinese	Aboriginal
Canada				
Total gap 0.293	0.536	−0.022	0.193	0.179
"Discrimination" 0.171	0.222	0.023	0.058	0.091
United States				
Total gap 0.328	0.176	−0.079	−0.205	0.304
"Discrimination" 0.123	0.055	−0.007	−0.047	0.136

NOTES: The total gap is the percentage by which the earnings of whites exceed those of the ethnic group, reflecting both the differences in their wage-determining characteristics and the differences in pay for the same characteristics. The latter is the differences in the regression coefficients from an Oaxaca-type decomposition as discussed in the text, and is labelled here as "Discrimination."

[a] E.g., Bangladesh, India, Pakistan

[b] E.g., Philippines, Korea, Vietnam

SOURCE: Baker and Benjamin (1997, Tables 5 and 11, specification 3 including industry and occupation controls). Adapted from "Ethnicity, Foreign Birth and Earnings: A Canada/U.S. Comparison," (Dwayne Benjamin with Michael Baker) in *Transition and Structural Change in the North American Labour Market*, Queen's University, Industrial Relations Centre and John Deutsch Institute, 1997. Used with permission.

Evidence for Other Groups

- Evidence is different in the U.S.
- Large literature on Black-white wage gaps
  - About 68% of white wages
  - Shrinks when controlling for past test scores (as measure of pre-market productivity)
    - Discrimination also coming from pre-market factors
  - Large component of discrimination
- Gaps favour Chinese and Southeast Asian workers
  - Not the same in Canada

Policies to Combat Gender Discrimination

Introduction

- Gender discrimination has been an issue for a long time
- Several policies are enacted to combat these
- Some examples:
  - Equal pay
  - Equal employment opportunity
  - Policies to facilitate female employment

Equal Pay

- Equal pay legislation takes two forms
  - Pay equity
  - Equal pay for equal work
- Pay equity requires that jobs which are substantially similar receive equal pay
  - Looks at very similar jobs
  - Minor differences are allowed
  - Issue is that it deals with similar jobs in similar establishments
    - Does not address equity issues across jobs/industries

Equal Pay

- Equal pay for equal work broadens the scope of pay equity
  - Assigns points to jobs based on skill, effort, responsibility, working conditions
  - Jobs with similar points should receive similar pay
  - Can apply to different occupations, but still in same firm/industry
  - Applies only to jobs that are predominantly male or female (>70 percent in one gender)
  - Pay in female dominated jobs adjusted to that of male dominated jobs

Equal Pay

- Equal pay for equal work example to the left
- Pay is plotted against point scores
- In this example, male dominated jobs have generally higher pay
- Solutions could be
  - Raise female line to male line
  - Raise female pay to male pay point by point for similar scores
  - Raise female points to male line at each point value

Equal Pay

- Worth noting that equal pay for equal work is based on administrative concept of value
  - Points assigned for skill, effort, responsibility, working conditions
- It is not based on economic (market) value
  - Jobs may be worth different amounts in the market
- This is purposeful
  - Market value reflects discrimination
  - Administrative value tries to remove this

Equal Employment Opportunity

- As the name suggests, equal pay focused on equalizing wages
- Equal opportunity focused on equalizing access to jobs
  - But by equalizing access, we also expect wages to equalize
- Key initiative is affirmative action (aka employment equity)

Equal Employment Opportunity

- Affirmative action is the most salient equal employment policy
- Generally involves preferential treatment for minority groups
  - Idea is to overcome past and current discrimination
  - Designed to be used temporarily to restore balance
- Not as rigid in Canada as in the U.S.
  - Applies only to federal workforce, about 10% of jobs
  - Applies to four targeted groups: women, visible minorities, disabled persons, indigenous peoples
- Continues to be very controversial

Facilitating Policies

- Finally, there are policies that can help facilitate women in the workforce
- Examples include
  - Parental leave
  - Child care subsidies
  - Flexible work arrangements
- Canada has done well on the first two
  - Expansion of child care subsidies recently is a good example

Facilitating Policies

- Some consider expanding unionization to be a facilitating policy
  - Unions bargain for greater pay, working conditions
  - Expanding this to cover more women would help
  - May also help generate more power for women to argue for other types of legislation we discussed
- Finally, removing pay secrecy has the ability to help
  - If employees know what others are paid, they can better negotiate
  - Pay secrecy tends to hide discrimination
  - Some jurisdictions have passed laws banning pay secrecy

Preference and Attitudes

- We saw that discrimination in part is due to preferences and attitudes
  - Taste based discrimination is one example
- Could use public policy to try to change these attitudes
  - Public awareness campaigns
  - Education programs
- Not clear how well this works

Impact of Policies

Introduction

- We have outlined briefly the different anti-discrimination policies
- How effective are these policies?
- Relatively straighforward to analyze statistically
  - Use Program Evaluation techniques
  - Data generally available

Pay Equity

- Generally these are ineffective in closing gender gap
- Some evidence of an impact in the UK
- In U.S., pay equity difficult to disentangle from other civil rights legislation
  - Effects are inconclusive

Equal Pay for Equal Work

- Analyzed mostly in the public sector
- Recall that the legislation is limited in scope
  - Male/female dominated jobs in same firm/industry
- Policy shown to closes about one-third of the gender gap in public sector
  - Limited evidence in private sector

Affirmative Action

- Affirmative action is most prominent in the U.S.
- Several studies have examined its effect
- Evidence that it helped employment opportunities of Black men
  - Were the main targets of the legislation in earlier years
- In later years, helped both Black men and women
  - Targets were explanded in later years

Facilitating Policies

- Parental leave policies help create job continuity
- Subsidized child care increases female labour force participation
  - Good evidence from Quebec
- Pay transparency reduces the gender gap by about 30% in academia
  - Using evidence from “sunshine list” in Ontario
- “Tenure clock stopping” policies reduce tenure rates for women
  - Unintended consequence is men are able to increase productivity
- Banning asking about past criminal history hurt employment of Black men
  - Increased use of discrimination

Summary

Summary

- Discrimination can arise from tastes, statistical discrimination, supply-side factors, and non-competitive markets
- Measuring discrimination is difficult because productivity is not observed
  - Blinder-Oaxaca decomposition is a common method
- Collider bias is a potential issue when controlling for certain variables
- There are a number of initiatives to reduce discrimination
  - Mixed evidence on their effectiveness